

Set-2

HSS102: Concepts in Humanities and Social Sciences

Section: “Market”

April 2026

1. What are the assumptions of the perfectly competitive market and the monopoly market?
2. Why is the demand curve in a perfectly competitive market a horizontal straight line? Discuss with the help of the price elasticity of demand.
3. Show the relationship between MR, AR, and P under a perfectly competitive market.
4. Discuss and show with the help of diagrams the short-run profit and loss under the perfect competitive market.
5. Why is the demand function under monopoly is represented by the average revenue of the firm?
6. With the help of a diagram, show the output decision of a firm under a monopoly.
7. Show the relationship between P, MR, and elasticity of demand.
8. What is the monopoly power, and how is it measured?
9. Short-run profit and loss under a monopoly with the help of a diagram. Show how the price under a monopoly is higher than the price under a perfectly competitive market within the same diagram.